

The Rich Report

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U.S. ECONOMICS NEWS

- **Services Expansion:** The ISM Non-Manufacturing Index rose to 54.5 in May, marking 23 consecutive months of expansion, with business activity climbing to 57.7 and new orders rebounding to 57.3 — broad growth across 17 of 18 service industries, though the employment sub-index remains in contraction at 47.9 as firms have halted hiring amid uncertainty.³
- **Services Inflation:** The ISM services prices paid index hit 71.3 in May, its highest since August 2022, driven by supply chain disruptions and elevated fuel costs tied to the Iran conflict — though still well below COVID-era highs near 80, and M2 money supply growth remains subdued, limiting fears of entrenched inflation.³
- **Rate Hike Debate:** Fed funds futures now price roughly a 40% probability of a December rate hike, a dramatic reversal from two expected cuts at year-start, driven by Iran war-related oil price surges pushing CPI higher; however, M2 money supply growing at just 3.2% annually over three years — well below the pre-COVID 6.2% trend — suggests underlying monetary conditions don't support sustained inflation.³
- **Jobs Strength:** May nonfarm payrolls rose 172,000, nearly double the consensus estimate of 88,000, with prior months revised up 93,000 for a net 265,000 gain; unemployment held at 4.3% and wage growth of 3.4% year-over-year is consistent with 2% inflation plus long-run productivity trends, undermining the case for imminent rate hikes despite headline CPI pressure.³

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DIGITAL ASSETS NEWS

- **200-Week MA Test:** Bitcoin briefly touched its 200-week moving average at \$61,300 — a historically decisive long-term support level that has reliably marked the floor of every prior bear market cycle, including 2015, 2018–2019, and 2022. Traders and on-chain analysts closely watch this threshold as a potential accumulation zone, with a sustained breakdown below it historically signaling prolonged downside.⁵
- **Streak Broken:** After 13 consecutive days of net outflows — the longest such streak since U.S. spot bitcoin ETFs launched in January 2024 — the sector finally reversed course on June 5, recording a modest \$3.05 million net inflow. While a relatively small figure, the turnaround signaled a potential stabilization in institutional sentiment following weeks of sustained selling pressure.⁵
- **Citi on ETFs:** In a recent research note, Citi analysts found that weekly inflows and outflows from U.S. spot bitcoin ETFs account for approximately 45% of the variance in BTC's weekly price movements — the single strongest explanatory factor identified. This makes ETF activity the dominant channel through which institutional capital enters and exits bitcoin, eclipsing futures markets and direct OTC desk flows.⁵
- **\$1B Iranian Crypto Seizure:** Treasury Secretary Scott Bessent confirmed that U.S. authorities seized approximately \$1 billion in cryptocurrency linked to Iranian state actors as part of "Operation Economic Fury," a coordinated enforcement action targeting sanctions evasion networks. The operation reflects Washington's escalating use of blockchain forensics and financial intelligence to disrupt Iran's ability to circumvent U.S. sanctions through digital asset channels.⁵
- **Clarity Act Clock:** With the CLARITY Act now advancing to the U.S. Senate floor, proponents face a narrow 8-week window before summer recess — a timeline complicated by competing legislative priorities, procedural hurdles, and the difficulty of securing floor time in a packed calendar. Failure to advance before recess could stall momentum significantly, forcing advocates to rebuild support in the fall amid shifting political dynamics.⁵
- **AI Catches Critical Cryptographic Flaw:** On May 29, Zcash security engineer Taylor Hornby leveraged Anthropic's Claude Opus 4.8 model to uncover a vulnerability in the Orchard shielded transaction protocol — the privacy layer protecting anonymous ZEC transfers. The discovery marked a notable milestone for AI-assisted cryptographic auditing, demonstrating that large language models can meaningfully contribute to identifying subtle, high-stakes flaws in zero-knowledge proof systems.⁵

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GEOPOLITICS NEWS

- **China:** Huawei announced a chip-stacking technique it branded "Tau Law," claiming it could achieve cutting-edge performance by 2031 — but analysts say it's clever engineering within existing constraints, not a genuine breakthrough. U.S. export controls continue to limit China's semiconductor ambitions.¹
- **Germany:** Germany suffered its worst foreign policy defeat under the current coalition government, losing a UN Security Council seat bid to Portugal and Austria. Foreign Minister Waidephul considered resigning but opted for a "thorough analysis" of what went wrong.¹
- **India/US:** India and the U.S. are in advanced trade negotiations, with New Delhi seeking relief from Section 301 tariff probes in exchange for a deal. Indian officials aim to secure competitive tariff rates relative to other U.S. trading partners such as China and Vietnam.¹
- **Iran/US:** Iran reaffirmed support for Hezbollah and demanded Israel withdraw from southern Lebanon as a precondition for any peace deal with Washington. Iranian Foreign Minister Araqchi stated the war with the U.S. "will end only when it ends in Lebanon as well," complicating ceasefire talks.¹
- **Iran/Israel:** Iran and Israel traded direct strikes — Israel hit a petrochemical plant in Iran linked to ballistic missile production; Iran retaliated against a facility in Haifa — before both sides agreed to halt attacks following pressure from Trump. Iran warned it would resume strikes if Israel continued hitting Hezbollah in Lebanon.¹
- **Ukraine/Europe:** Ukraine's Zelensky proposed a direct face-to-face meeting with Putin to negotiate a ceasefire, pledging Ukraine would halt fighting for the duration of negotiations. UK, French, and German leaders backed the proposal in a joint statement, though Putin reiterated Russia holds battlefield advantage.¹
- **US:** Trump appointed Bill Pulte — the 38-year-old head of the Federal Housing Finance Agency with no intelligence or military background — as acting Director of National Intelligence. The move came after Tulsi Gabbard's resignation and prompted Democrats to block renewal of Section 702 surveillance authorities, risking an intelligence gap.¹
- **US/Tariffs:** The Trump administration proposed additional 10%-plus tariffs on 60 countries found to import goods made with forced labor, framed as leveling the playing field for American workers. The proposal is currently in a public comment period and leverages trade law as a potential workaround to earlier Supreme Court limits on executive tariff authority.¹

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THE GOOD NEWS

- **AI Forecasting:** WindBorne Systems' WeatherMesh-6 now outperforms the European Centre for Medium-Range Weather Forecasts, long considered the global gold standard. The AI model updates hourly versus every six hours for traditional systems, achieves 3km resolution across Europe and the U.S., and matches at five days out the accuracy traditional forecasts only achieve one day out.²
- **Freedom Satisfaction:** A record 82% of adults across 138 countries reported satisfaction with their freedom to choose how to live their lives in 2025, up from 71% two decades ago and recovering strongly from a low of 65% during the 2008 financial crisis, with the biggest gains in countries where such freedoms were previously least common.²
- **Lithium Extraction:** MIT researchers have developed a near-zero-waste, low-temperature process for extracting battery-grade lithium from hard rock that also recovers alumina and silica as usable byproducts. The closed-loop method costs roughly half that of conventional extraction, potentially making it cost-competitive with brine-based lithium sourcing. The team is already commercializing it through spinout Rock Zero.²
- **Microplastic Filters:** Bristol-based Matter Industries has developed a self-cleaning washing machine filter capturing 97% of microfibers per cycle, now available across 30+ European markets with U.S. expansion planned. Each wash cycle sheds roughly 1g of fiber waste, most of which currently reaches waterways unfiltered.²
- **Nuclear Milestone:** Antares Nuclear's Mark-0 reactor achieved criticality at Idaho National Laboratory on June 4, 2026, becoming the first reactor in the DOE's Reactor Pilot Program to do so and hitting the milestone a full month ahead of its July 4 deadline, advancing the case for factory-style commercial advanced reactor deployment.²

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DIVIDEND PORTFOLIO NEWS

- **ATO:** Named among top utilities stocks for positive EPS revisions, a constructive signal for earnings trajectory.⁴
- **CAT:** Rallied after Trump eased tariffs on farm and industrial equipment, directly benefiting Caterpillar's core markets. Wall Street also previewed the company's upcoming dividend, expecting a 33rd consecutive annual increase — a milestone underscoring its Dividend King status.⁴
- **FAST:** May daily sales jumped nearly 15% year-over-year driven by manufacturing strength, a strong leading indicator for industrial demand.⁴
- **GD:** Declared a quarterly dividend of \$1.59 per share, consistent with its established payout cadence and ongoing commitment to shareholder returns.⁴
- **LMT:** Active week — Canada confirmed a \$1B+ purchase of 26 HIMARS launchers; a new Alabama facility opened for Next Generation Interceptor production; a counter-drone system passed live-fire testing; and SpaceX's rising Pentagon role drew comparisons as a competitive threat. J.P. Morgan also issued a broader upgrade note covering LMT. Farnborough Airshow highlighted defense themes.⁴
- **PCAR:** Class 8 truck demand bounced in May, a positive demand signal for Paccar's core heavy-truck business after a prolonged freight cycle downturn.⁴

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GROWTH PORTFOLIO NEWS

- **COIN:** Coinbase launched pre-IPO perpetual futures contracts starting with SpaceX, and partnered with Better to offer the first Fannie Mae-eligible crypto-backed mortgage.⁴
- **CRDO:** Credo Technology reported Q4 results with optical interconnect sales driving strong revenue growth; analysts broadly raised price targets following the beat.⁴
- **CVX:** Chevron applied for Argentina's tax incentive program with a \$13.8B investment plan.⁴
- **EIX:** Edison International's Eaton Fire claimants were offered \$650M+ in a SoCal Edison compensation program, representing a meaningful step toward resolving wildfire liability.⁴
- **HUT:** Hut 8's subsidiary priced \$4.25B in senior secured notes, a significant financing move. Crypto mining stocks broadly declined as Bitcoin extended its losing streak.⁴
- **MRVL:** Marvell confirmed for S&P 500 inclusion, replacing Campbell's, which drove a 13%+ single-session surge and broad ETF buying. Nvidia CEO Jensen Huang publicly called Marvell a potential "next trillion-dollar chip company" at Computex, catalyzing a multi-day rally of over 50% before a partial pullback. Analysts at Evercore praised Marvell's strategic supplier role; multiple upgrades and target increases followed Q1 results.⁴
- **NVDA:** Nvidia dominated news flow. Jensen Huang made high-profile statements at Computex — calling Marvell a potential trillion-dollar company, declaring AI ROI obvious, and highlighting robotics as South Korea's next major sector. New partnerships announced with SK Telecom (gigawatt-scale AI cloud), LG (humanoid robots), SK Hynix (deepened HBM partnership), and Naver (AI factories).⁴
- **TSM:** TSMC's CEO stated it will be "a long time" before the company can fully meet AI chip demand — a supply constraint signal that reinforces pricing power. Wedbush called TSMC's AI messaging a positive long-term indicator. TSM also appeared in Google's \$80B AI capex beneficiary analysis and declared a dividend during the period.⁴

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S U M M A R Y

In regard to the United States Economy, the services sector posted its 23rd consecutive month of expansion, with new orders and business activity both accelerating. May payrolls surged to 172,000 — nearly double consensus — with prior months revised higher for a net 265,000 gain. Wage growth remains consistent with 2% inflation targets. Yet services prices hit their highest level since 2022, pushing markets to price roughly a 40% chance of a December rate hike.

In the world of digital assets, Bitcoin tested its 200-week moving average, a historically critical long-term support level. After thirteen consecutive days of ETF outflows — the longest streak since spot bitcoin ETFs launched — institutional flows finally reversed. Research confirmed that weekly ETF activity explains roughly 45% of Bitcoin's price variance, making it the dominant price driver. U.S. authorities seized approximately \$1 billion in cryptocurrency tied to Iranian sanctions evasion, and the CLARITY Act faces a narrow window before summer recess.

Recently around the globe, Iran and Israel exchanged direct strikes before halting under U.S. pressure, though tensions remain tied to Lebanon. India and the U.S. advanced trade negotiations, while Germany suffered a significant diplomatic loss at the UN Security Council. China unveiled a chip-stacking technique analysts describe as constrained engineering rather than a breakthrough, and Ukraine's Zelensky proposed direct ceasefire talks with Putin, backed by major European allies.

For the good news, an AI weather model now surpasses the long-standing European forecasting benchmark, achieving five-day accuracy traditional models only reach at one day out. A record 82% of adults globally reported satisfaction with personal freedom, the highest level ever recorded. MIT developed a low-cost, near-zero-waste lithium extraction process now being commercialized, and a nuclear reactor at Idaho National Laboratory achieved criticality a full month ahead of schedule, advancing the case for commercial advanced reactor deployment.

In the news for the dividend portfolio, Caterpillar rallied after tariff relief on farm and industrial equipment, with analysts anticipating a 33rd consecutive annual dividend increase. Lockheed Martin secured a major Canadian HIMARS contract, opened a new production facility, and received analyst upgrades. Fastenal reported nearly 15% year-over-year sales growth and earned a conviction-list addition. General Dynamics declared its quarterly dividend, and Paccar benefited from recovering Class 8 truck demand.

And, for the growth portfolio, Marvell surged over 50% after S&P 500 inclusion and a high-profile endorsement calling it a potential trillion-dollar chip company, before partially pulling back. Nvidia announced major partnerships across AI cloud, robotics, and memory, with Blackwell supply tightening. Credo Technology beat earnings with strong AI data center momentum. Coinbase introduced crypto-backed mortgages, while Chevron committed nearly \$14 billion to Argentina's energy sector.

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RESOURCES



1. Research accumulated from <https://www.patreon.com/cw/PeterZeihan>, <https://x.com/>, and <https://seekingalpha.com/>
2. <https://newsletter.humanprogress.org/>
3. Research accumulated from <https://www.ftportfolios.com/> and <https://bravosresearch.com/research/>
4. <https://seekingalpha.com/>
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